COMPANY DEEP-DIVE

CIO and SVP at Wawa, Inc. Sees AI Transforming ITSM With Dynamic, Automated Approaches

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SMART SUMMARY

Summary

The conversation covered the structure and priorities of a large retail IT organization, the current and future role of AI in ITSM, and the evaluation of technology platforms and vendors for service management and automation. The discussion included insights on cost management, support workflows, and the potential for AI to transform traditional ITSM processes.

EXPERT BACKGROUND

- The expert is a Chief Information Officer and SVP at a large retail organization, overseeing an IT organization of approximately 650 people (about half outsourced), with experience managing both development and operations, and significant involvement in digital commerce, ITSM, and technology strategy.

EXPERT SENTIMENT

- **The expert is optimistic about the transformative potential of AI and agentic systems in ITSM**, predicting a significant shift away from traditional ticketing and static frameworks toward more dynamic, outcome-based, and automated approaches within the next three to five years.
- The expert is highly focused on cost efficiency and believes that leveraging existing technology and maximizing value per unit cost are critical, especially as **SaaS and cloud costs continue to rise**.
- The expert is open to integrating multiple vendors and solutions, rather than relying on a single platform, to achieve the best functionality and flexibility for ITSM and AI-driven automation.

TAKEAWAYS

- The IT organization is split between in-house and outsourced resources, with higher-level roles (architects, engineers, business interface) kept internal, while first-level support and some development are outsourced.
- Store-side support is handled internally for cultural and relationship reasons, but the expert believes **this model is less** efficient and would prefer more dedicated, specialized support roles.
- Most store support requests are equipment-based or POS-related, with a small portion requiring in-person resolution; about 85% are handled remotely.
- Strategic IT priorities include service stability, cost management (especially cost per transaction and store-level income ratios), digital commerce growth, and security.
- The expert sees AI as capable of automating 30-50% of ITSM work today, with potential for much more as AI matures, especially in areas like auto-discovery, dynamic service level management, and proactive issue resolution.
- Current ITSM tools like ServiceNow are seen as expensive and potentially replaceable in the future by AI-driven, data-centric approaches that minimize the need for traditional ticketing and manual configuration management.
- The expert values a modular approach to ITSM, using platforms like ServiceNow and Moveworks in combination, and estimates add-on AI solutions cost about 20% of the core ITSM platform.

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Expert Bio

Chief Information Officer, SVP at Wawa, Inc. The Expert can speak to over 30 years of experience in the information technology and retail industries. They can discuss the ITSM space in detail. Chief Information Officer, SVP at Wawa, Inc. The Expert is responsible for leading the technology strategy and digital operations for a $20B convenience retail chain with over 990 locations and 43,000 associates. They oversee the IT infrastructure supporting fresh food services, fuel, and retail operations for a brand consistently recognized as a top national employer by Forbes and LinkedIn. Prior to Wawa, Inc., the Expert was the Chief Information Officer, EVP at TracFone Wireless Inc. (a subsidiary of América Móvil), leaving in October 2017. The Expert was responsible for the technology landscape of the #1 prepaid wireless provider in the U.S., managing systems for over 26 million subscribers and $8B in annual revenue. They directed the MVNO operations across 30 different wireless carriers and supported a retail footprint of 96,000 outlets. Prior to TracFone, the Expert served as the Global Chief Technology Architect, Corp Vice President at Walmart, leaving in September 2013. The Expert was responsible for strategic technological planning and the Global Enterprise Architecture governance program within a $5B IT budget. They led technology life-cycles, co-innovation with Tier 1 partners, and architecture standards for over 10,700 retail units across 27 countries.

Interview Transcript

Client 00:00:00

Hi. Thanks for taking the time to talk with me. I am interested in learning more about Ai-native itsm. Can you share a brief overview of your background?

Expert 00:00:10

I have about 650 both contractors and full time. Full time somewhere around 280, that's about half of the IT organization is outsourced across multiple different vendors. We do have offshore nearshore models. That's where we are. We have a development organization which is about half I would say of our organization and the other half is more operations.

When I talk about development I'm talking about product managers and everyone really working with business and really understand what they need from a software application development standpoint or implementation standpoint. That's how we arranged. I don't know if I answered all your questions or not. Any gaps for what I just described?

Client 00:00:58

You gave a really good helpful scaffolding. Could you help me map that to what capabilities did you choose to keep in-house versus what capabilities do you choose to outsource?

Expert 00:01:10

I would say the bulk of our in-source tend to be the higher level skills. We do have developers internally but that's a first level support is outsourced, maybe even 1.5 if you want to call it that. What is also outsourced on the development side is the developers themselves, not all of them, but we try to keep architects, engineers, those business interface roles internally.

It's more the team that's really more the thought leaders that try to keep internally. Now, if we're doing a large project like SAP or something else, we'll bring in other architects that may be familiar with the platform more. Within the context of Wawa, we tried to maintain that knowledge internally so we can look holistically across our architecture.

Client 00:01:56

That's awesome. Could you talk to me about the nature of the demands on your IT teams? It's intentionally vague question, so I'll dimensionalize that in two ways for you. One is how the nature of the top three priorities that the IT team is tasked with or mandated with solving on an annual basis. The nature of the support side specifically, the kinds of work that needs to be done, is it mostly password resets? Is it mostly level one tickets? Is there more complex things and what do those complex things look like? sort of a two part question there.

Expert 00:02:35

I may ask you to repeat the first part again here, but I would say contextually, as far as the support organization right now, tickets, if you want to go. Start with the second question first. A lot of the stuff that comes in from corporate goes to offshore first-level support goes to a third party. Those tend to be a lot of password sets, things like that. Although I've gotten on the third party to make sure that's just automated. What they do is, **they do a little bit of troubleshooting** and then they'll pass it to our internal team.

Most of the things that they'll be doing is password resets. They'll answer general questions around office products, things like that. I would say things that happen quite frequently. If there's something a little bit more vague, then it goes to a second tier support with the logs, etc. that we start to look at. We're getting much, much better at that. Internally we're able to solve things very, very quickly. On the store side, since we have a large store, that first level support, we actually own internal. I want to be clear on that.

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Most of that team is a little bit hodgepodge across everything. Meaning that they'll take calls from the customer saying, "Hey, I want refunds," whatever it is. They'll also take calls from both internal and external on the mobile app and this is not working, etc., meaning that stores will call in that as well. On store side, they'll have everything from POS issues to anything that happens with store level. Those tend to be again repeatable set of items.

Anything that's not repeatable, it certainly goes to a second tier. Those typically go right to more of our senior folks because most of the things that can't be solved at first level because of our support documentation probably requires something that's a little unusual or a little pattern we have not seen so am getting a little bit better at that. If you could repeat the first part of the question.

Client 00:04:36

Yeah. I'll repeat the first one in a second, but a couple follow ups on this second question then. Why do the store side in-house versus outsourced? Why combine internal requests with customer facing requests?

Expert 00:04:52

That has been the big question over the past six years. I'll give you the answer but I don't believe that should be the case as you got from my preceding comment there. I think the company believes that the associates want to talk to someone that's also an associate. From a store perspective, they don't really want them calling into a third party that may have language barriers. It's just nice to be able to share associate experience over the phone when they're talking to them. It's just a relationship thing there, and that's the same with the consumer.

They really feel they need to have the branded Wawa cultural person on the phone versus someone that's really not part of our company because all of our associates are owners. It does make a difference of how they respond to folks, etc. That's the answer. It is more expensive internally, certainly. I would even say on the technology side, if you were to break the two apart, there's so much more I think the first level could do if it didn't escalate and go that route.

I think because they do take customer calls and they're always doing random stuff across the board versus saying, "Hey, I'm here to support technology and then resolve it faster." They never become real experts at that role. That's one of my biggest pet peeves is, I really want dedicated folks so that **they can refine the troubleshooting** and build a knowledge base faster.

Client 00:06:17

That makes a lot of sense. I think it starts to implicitly answer my other follow up question of, what are the big buckets of requests from store side? Is it really fragmented across a whole number of things? Are there dominant categories of requests like the POS or something like that that really take a share of that volume?

Expert 00:06:39

A lot of the requests that come in from the stores tend to be equipment-based. Not all of our ovens are smart. You may have an oven issue or they may have an air conditioning issue, things like that. We can see some of that through some of the tools we have, at least with the air conditioning side. There are a lot of systems inside the store **that really aren't smart**. That could be everything from refrigeration to coffee makers to all that stuff. Blenders that don't really have a way to announce their own issue. They'll either enter a ticket to order a new one, or put that under service. Sometimes they'll call it in. I personally believe that everything should be done by voice.

I don't think any store associates should ever have to go log into a computer, log a ticket, things like that. I think they should be able to just talk and say this is the issue I'm having and the system take care of and log it themselves. I think it's just more accurate. I think it'll learn faster and it's just more better for the associate. The second type of issues would be everything with POS. That's where we typically get a lot of questions there. That being said, it's partly because it's an older POS system that's an older stack.

We don't have the embedded intelligence in there using Datadog or other things. We can't see it as well so when they're having an issue there, it's a closed system and we don't have as good monitoring at the data level. We do at the services level, meaning the hardware and things like that, about performance and CPU criticality. On the inside of the store, we're a little unique.

We have kiosk where you order from. That's all smart. Meaning that that was something we developed ourselves and that has very highly embedded logs where we can see everything, including if a mushroom was missing, if it's not working. We look at the buttons to see what people are clicking on and how we may be able to advance the UI, that stuff. Those are things that we're getting much, much better at. I believe you said the first question is what we were concentrating on.

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Client 00:08:51
Yeah. More questions before we get to that first class. Potentially naive question which is, is it typical for equipment issues to go through IT at most retailers? things like the oven or blender?

Expert 00:09:06
Not typical. In this case, it's not really coming to IT, it's going to that first level support desk. As I mentioned earlier, everything flows through that support desk from the stores. That's everything from customers to associates calling in. Associates could be calling in about equipment issues, IT issues, mobile issues, whatever it may be. It's more of a service desk than it is an IT help desk. They just triage and do whatever they can to fix whatever they can.

Client 00:09:39
Is that unified service desk pretty typical? In two ways, one is, is it typical for ops and IT to flow through there?

Expert 00:09:50
I would say it's an old model. We used to have it within the technology organization about eight years ago. When I came to the company, they moved it out because **the operations team felt the need to have a closer handle on all the issues** we're having. We really don't have that many issues anymore. The reason it was moved out I think is to full transparency beat up IT to say why aren't you solving this? Why aren't you solving that? **Here's what issues** we're having because at that time when I came in, we didn't really have good service levels and frankly didn't know a lot of times when things were down because we didn't have monitoring in place. That has now since changed.

I'd say it's A typical. That being said, I think some of the discussion we're going to have today, is I believe with AI you could begin to combine it again. You wouldn't need as many specialists. The AI becomes the specialist. You would maybe have a fewer set of folks that are really ones that are double checking before they escalate, maybe human in the middle mindset. What I could see over the next X number of years, is for that first level to move back to more of a shared desk because AI, one) Will be handling more of them, and two), **AI would be able to rationalize some of the issues**, find patterns or even answer things by itself or bring up the right knowledge set for them to answer things better.

The problem with having a mixed help desk today is they can't be an expert of everything, therefore they're an expert of nothing. I think that could change in the future. To answer your question, I try to give a little bit more context where I think it could go. I think it could go back to a combined service desk or maybe you eliminate the service desk altogether through AI. I think today's world, it tends to be, IT has their own and the business has their own. I think it could start migrating and even be eliminated long term.

Client 00:11:50
Yeah. That is definitely alluding to some of my questions that I'm going to ask in a sec, where you think this is headed and makes a lot of sense. For total clarity on my side, today the store associate is submitting to one of two desks, either an IT one or an OPS one, depending on the nature of the issue.

Expert 00:12:10
Can I clarify that?

Client 00:12:12
Yes.

Expert 00:12:14
On the store side, everything flows through the OPS help desk, including technology. On the corporate side, if it's an IT issue it goes right to the IT department and that's offshore.

Client 00:12:26
Thank you. The person doing the triage of tickets is either somebody on the ops team. If it's coming from store side, who's then directing it to the right person or resolving. If it's coming sort of desk side, then it's someone on the IT.

Expert 00:12:41
Correct. I'm not sure it makes any sense, but that's the way we're set up. Just to be clear.

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Client 00:12:48

It's clear to me. How many of the store side requests require sending someone in person to do the resolution versus something that can be resolved remotely or through technology. How much of it do you have to dispatch, like a field tech for example to fix?

Expert 00:13:04

It's a small portion. I would say at least 85% probably handled remotely. We don't have that many store techs. I got to figure this out. I think we have maybe 100 stores somewhere around there probably even maybe more than that. They have a territory. It's really the drive range, and they only fix. They only are dispatch or anything. It's hardware related where we just can't figure out what it is. I don't want to say it's rare, but it's certainly not the majority of our tickets.

Client 00:13:39

Really helpful. Now can go back to that first question. What are the demands placed on IT and the strategic level in terms of, how do you think about the top three to five or whatever the right number is of core strategic priorities that you're asked to be accountable to on an annual basis?

Expert 00:13:58

I think they're probably common across the industry, but certainly service levels, it's really more around stability, that's one. I think that's the main one, if we can't keep up what we already own, then we shouldn't be building things that are new. I'd say that's just a normal there. I'm a P&L owner on the digital commerce side, I own that P&L, part of my responsibility with the technology development team is to figure out how to continue to grow that business line. That could be everything from UX changes to transaction times, things like that. **We're growing that business** about 20%-22% a year for the past five years, that's going well.

Another one that is now the core focus is, over the past five years we focused on more of the consumer facing technology. Now we're focused on corporate technology. SAP upgrades, let's just say upgrades, it's not plural it's to go to S4. That's something we're going to be focused on for the next two and a half to three years. Most technology organizations is cost. Costs have certainly changed and are becoming more inflated now. You could argue, well you're getting more functionality for it but it's sometimes hard to prove that to the business. Especially as you're moving software from bare metal to the cloud.

Now you're in subscription mode and capitalization versus expense type, tax treatment, things like that. It's becoming more expensive. I think one of the biggest priorities I have is, how do I leverage the technology that I already own and how to get more value out of that technology. If it's going to continue to grow, I'm making this up at a CPI of 3.5% or more per year, then I need to get at least 3.5% more value out of it per year or it's becoming more expensive per transaction or per unit cost. That per unit cost is very important would be what I'd say there. The final is really around security.

Client 00:16:00

Really helpful framework. Into my next question, what KPIs are the most motivating to you? What I mean is, **I would imagine because of these pressures** and because of this strategic context that you're thinking that you would evaluate third-party vendors or technology initiatives through the lens of to what degree are they driving impact on certain KPIs? Which promised ROI is most interesting or compelling to you? Is **it impact on service levels**? Is it cost? Is it something else? What's the best business case scenario?

Expert 00:16:36

It would really be cost. I think all retailers and across the industry, I know the folks that are in financial services as well. It's just the cost of technology continues to grow and continue to expand. You're talking about ServiceNow or some of the other tools that are coming out, now they want to charge you for AI even though AI is not going to be part of their core business we're adding in there. Now you have to pay for that. I don't care if it's Workday, I don't care if it's RELEX, everyone wants to continue to charge you more on that functionality, because it's a SaaS model. Tends to get built into the platform. Many times you don't have a choice whether you pay for it or not.

I know that's not 100% accurate because you do have modules, but I think cost and that could be in retail side. One of the KPIs could be cost per transaction. You think about your total architecture. When I actually purchase something or I put something in my order, how many hops does it go through? What kind of technologies go through? What would be that total cost of ownership or that KPI of the transaction cost because it has to hit different databases? What does that transaction cost? Is one KPI that I watch. The second is a little higher level, but it's at a store level cost. We consider it store level income and what is the ratio for store level income.

If I have a store that's making $14 million a year, another store that's making $9 million a year, I shouldn't necessarily have the same exact technology in those two stores, because the one that's making a fraction of the first certainly is paying more of their income for the expenses that we put in there. That would be another thing that we watch. You certainly get into your uptimes and that could be everything from mean time to repair or we look at it from again first call.

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I know it's typically a metric that first call resolution, but it really is first ticket resolution and how much of that can we automate and do self healing things like that. How fast, or more importantly, how responsive are we because not every ticket is created the same, but when there are tickets that elevate to a SEV1, SEV2 sort of thing. They need to be resolved fast. We're trying to really keep that meantime to repair as a forefront KPI. I think that's where a lot of the automation and AI can really drive down those times.

Client 00:19:10

That makes sense. Thinking about the technology specs that exist here, I'm trying to figure out like an organizing principle of the tech stacks because it covers so much ground. There's the ITSM as one organizing center around all of the support workflows. How else should I think about the way that you think about the tech stack in clusters? if that's the right way to think about it. What's the right way to organize the central nodes that matter the most in your tech stack to accomplish all of these imperatives?

Expert 00:19:41

I think ITSM for sure is one of the core mechanisms for really understanding your assets and what those assets actually do. I would say configuration management is probably the core of that and how we do that. As far as frameworks beyond that, you get into NIST framework for security. We're always looking at our NIST scores. I forget how many units it measures across, but I'm making this up, let's call it 30. We're always looking to see the maturity of each of those.

As an example, asset management would be one of those. If our maturity of asset management through audits etc., through COBIT if you will. Through audit, that comes out and says, "Hey, **we're slipping** a little bit on asset management, then we put a little more focus on that because it is impactful."

If we don't know what's broken or what it actually does for the business, that would be another one. I don't know that there's a good framework but the other one that frames us is, we do a showback model to the business to allow and I think this is very, very key. There's really no framework around it. The closest thing you can get to it would be some CBM, which is a component business model which basically says, "Here's all the functionality or capabilities the business does." That could be everything from inventory management to human capital management to strategy.

These are functions of the business. Being able to put a cost to those functions is very important. I would tell you back to the cost, in today's world, the business is always coming and saying, "You're too expensive." I'm like, "I'm not too expensive, you're too expensive." They just can't get it through their mind that it is their cost, not mine. I'm there to be their agent, to manage things for them but if they want a certain application, they buy it, I support it, but it still goes into their portfolio.

I'll give you an example here in a second. You just bought this, but they look at me at the end of three years later they're like, "Why did **your cost go up**?" I'm like, "Don't look at me, here's a mirror. You're all the one that wanted this and you're getting value out of it." I think it's very important for technologists to really understand the value of the technology and the business to own it. They need to own their total cost and the value they receive out of it. As an example, we used to have our outsourced recruiting group. The HR group recently and maybe three years ago decided to insource recruiters.

Now you're bringing that cost in and I make this up $100,000 per I make that up for recruiter and again, it's probably not that, but I'm throwing that out there as a number with that then guess what? Now I need a software. Now I have a software. Now I bought Workday. It just becomes this combined cost. What was a flexible model that was recruiters that were external and I don't know what they would cost us per year, but it certainly wasn't the $5 million-$6 million a year now that I'm paying for the human capital as well as the technology.

Are **we getting the value out of that better** than we did from a third-party perspective? because now we've in sourced everything including the technology and I just don't think that's a model that should have been allowed. Again, it's not 100% my call. What I was trying to get at is, the business need to have a great framework to understand their total cost of whether the market tax stack is, so marketing what are you costing? How much is it costing you to do customer acquisitions and what are you doing there? What's your loyalty program costing you? What is your supply chain costing you? What is human capital costing you? What's your legal costing you?

You've got to put it in the lens of the business, which again I come back to ITSM Service management. We've always talked about the small S, which is more the IT services. I think **one of the failures with ITSM** is the technology team because it's one of our frameworks or I don't want you to call it that, but is the big S, the business services.

We failed to build out that logical connection with the financial service portion of service management and the Configuration service management, to be able to show the business real time what their costs are. If I were to put a framework around what could help the technology organizations of today is really focus on the big S, which is business services.

Client 00:24:23

That's really helpful. You think that that capability should be solved by the ITSM today? That costing process and allocation to the business units is being done manually by your team in saying, "Hey, Workday is an HR expense." This should be accounted on your P&L and this is

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how much it cost and you should include this in your overall CapEx and unit economics.

Expert 00:24:47
Exactly.

Client 00:24:49
Your perspective is that the ITSM actually could play a role in doing that department costing?

Expert 00:24:56
Absolutely. It's part of the framework. It's just that mostly ITSM is used as a technology framework. We focus on asset configuration, we focus on incident management, problem management. We focus on more of the IT operations ones. The piece that's missing is there's a financial model in there that we just typically don't do because we're not financial people. There's services in there, we may say this is a POS but POS is not a service, sales execution is.

Sales execution, they cover lots of different things. Could cover your mobile site as well, if you want to call it that. I think we only take it to the level of a piece of hardware. It's more the functional versus the business capability. We don't talk in terms of order management. We do at Wawa, but most companies don't. They don't say, "Hey, my order management system is down." They'll refer to it and say, "Hey, the kiosk was down." We tend to think about functions versus business capabilities. I think **that's a failure to most CIOs, is they haven't linked it back to the business as tight as it needs to be where you can drive business accountability**.

Client 00:26:12
That's super interesting. To accomplish that, could the current ITSMs do that or does that require new product innovation from the ITSM to enable and unlock that financial showback?

Expert 00:26:24
it is in there already. **The problem** is just like asset management, it's extremely manual. There's no way to discover, I shouldn't say that. Historically, there has been very little way to discover what something is. This is my philosophy, I do believe with AI and AI understanding and listening more than just doing. Listening to understand what type of conversations are happening and start to interpret to say, "Hey, I know this is coming from this group." Maybe I don't know who the application is, but I can see that this person is using this packet.

Therefore, I can assume that that process going across the wire is HR. That process going across the wire because that person's in charge of fuel, that it has something to do with fuel. Over time, it could start to learn these patterns about the human and what roles they play if you can pull that out of the HR system. With that you could say, okay let's assume it's fuel, so how many people are using it? Well now I know there's a application out there that does fuel, but I didn't know what it was called, but now I can see it.

You could start to have the AI start to almost create this map because of people's roles and personas and the questions they ask based on their email, things like that. You can start to see what percentage they are and also map those assets back almost automatically to the business capability. Back to your question is, we haven't done that very well because it's very, very manual. I do believe once we get AI more accepted into the ecosystem of corporate, I think you could start to auto discover a lot of that stuff without putting agents on every desktop or trying to map out every application to the vendor things like that.

Client 00:28:12
Really interesting. I could see the potential for AI to do that. As you contextualize that across the broader potential for AI in IT, can you help me understand, again two part question and I'll split it into two parts and I'll make sure to ask both. Again, I'd love to ask two part questions. One is, to what extent on the full purview of IT across ITSM and the other nodes that you mentioned, do you see potential for AI? Specifically for ITSM, how do you think about the order and sequencing on which you want to deploy AI to solve specific workflows or issues?

Expert 00:28:50
Going back to your first question, **AI has a huge potential in ITSM**. Again, it comes back to outcome thinking about the new AI, not talking about the old AI, but the new AI is with agentic. Agents are really outcome based. You could say, hey, I need to have this outcome and then it could always try to repair, replace, do whatever to achieve that outcome. I think ***outcome-based agents*** is going to be very important because they are directly aligned to what we're always trying to achieve, which is some outcome based on service levels, that's one. Taking that further, I question, and this is probably something ServiceNow and others won't like.

I question whether you even need a ticketing system anymore. I do think you need things around what assets do I have like asset management, configuration management, but I don't know if you really need the ticket system anymore, or whether you just listen to the

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assets and what they're telling you and you listen to the phone calls coming in. The ticket system is very much about categorization and I don't know that you need a ticket system or whether the agents will categorize and continue to categorize almost dynamically raising and lowering the importance of all the issues coming in.

I think too much time is spent on correlation. In today's world, where you're getting all these individual tickets and the way they're described and things like that because you only hear it from the human side. Most of the time is mis-categorized. It takes a while to figure out that. I think agents, or I shouldn't say agents. I think AI to start listening to human and the systems at the same time and start to say, "Hey, this person's called in or hit their box," whatever they're talking to and saying, "Hey, my computer's really running slow." The AI would see immediately that, oh yeah, look at this, resources are too high.

It would almost dynamically understand service levels and dynamically change service levels based on the feedback you're getting from the human. We typically will set a threshold that says, "Hey, we believe **70% CPU utilization is bad**," or is it? I don't know if it is. If no one's calling in, no one's complaining, then it's probably not bad. At the point where they start complaining, and I can hear the sentiment of their voice of saying, "Oh my gosh, this thing is so dang slow." Now I could raise that or lower that over time and start to learn from the human interaction that broader context.

What I see with ITSM in the future, maybe I shouldn't even say that there's a ticket system, but it's really about the collecting data points and we do that today. Some of those data points, like I said with the ovens and things like that, we don't really monitor but you can listen to a human to tell you what's going on, or you can listen to the human to overlay what you're seeing on the system side as well.

I think there's a lot of opportunity there and I believe there's a lot of opportunities with AI, especially with agentic AI, to really build ***outcome based agents*** where they'll do a lot of the work for you over time once they figure out what they need to do and how they need to do it. I do think there's going to be a huge, huge transition from what we have had in the past to what we'll have in the next three to five years. Personally, that's what I believe.

Client 00:32:21

You're answering the second question already which is great. I think one of the questions I have on this is the degree that is possible today versus the degree that you think will be possible in 12 months or 36 months. What's the share of work that you think if you had a magic wand and you could just change things unilaterally, that would be possible for agents to handle today based off the technology that you've seen? Is it 30%, 40%, 50% of the work? Is it 10%?

Expert 00:32:52

I would say at least 30% to 40% to 50%. I believe if you talk to the folks that are fixing things, frankly there's only so many things **that can go wrong** if you stop changing things. That's the first problem, is we change things all the time through change management. If you just stop changing things, there's only so many things that actually pop up. The problem is, we're constantly changing things. I think the AI could identify those changes and patterns way faster. Therefore they could fix it faster or escalate it faster to the team who just changed it. We don't get enough signals today when we roll on the new piece of software.

It may take three months before we even know there's a problem. The monitoring systems and agents could determine that way faster just with a slight variation in pattern. **It could be a hesitation of somebody** hitting a button or whatever it is. It would know something changed pattern wise and could maybe escalate it to say, "Hey, **this is a bad package**, so stop rolling it out," or to go off and fix themselves. The agent themselves I think can fix a lot of things. We always joke that control delete, but in full reality that's a lot of things are fixed because the resource constraints or resource contention that happens on the system.

Can it reboot automatically self healed? Yes. Doesn't mean you fix the problem, this means you maybe covered up or whatever it is, but at least it's resolved and it's still working. I believe that at least 50% of what we do can be solved through agents or AI. The other thing **I would say is, the problem** we have today is only about 20% of the tickets are actually logged. How many times when you have your laptop issue do you call help desk? you don't. You just control, delete, and you cover it up and you do it again, and then it slows down again and you cover up again. You're just constantly just self resolving that.

I believe that AI is going to be playing a big, big part of just allowing people to tell us more about what they're seeing if we just make it very easy for it. If you had an ability just to say, "Hey," and it says, "Yeah," or you just say, "Hey, **my computer's running slow**." That's login a ticket. You would do that every time. You would probably cuss at it. You're like, "Hey, this freaking machine." You'd be cussing at it because it's so natural for **you to complain to the person next to you or to excuse my language, bitch about what** you're experiencing.

We never hear that, but if you can make it so easy to get that additional context and then AI would either one log a ticket or just understand that it's contextual insight, then I think we would know more. **The problem** is today is we don't get enough tickets always to find the problem in advance and be proactive because only 20% people called in in the first place. Within that 20% we only see, as an example, I may only see 20 tickets over 1,000 stores.

It's not an issue to me it's 20 tickets. It's no big deal. It could be a big deal, it's just no one else has called it in yet. All of a sudden it blows up

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and everybody starts complaining about it. I think there's so many opportunities and again, I'm not just thinking about it from a system perspective, but it's the human interface that could also be achieved.

Client 00:36:27

That really makes a lot of sense. I think the question I'm wrestling with is, how do you tie that back to the KPIs that matter? How do you think about the right sequencing? which **I'd imagine is related to highest impact on KPIs but might be also impacted by just realities of deployment**. How should I think about where you would start on doing this? Where are you guys in that journey anyway? Where you would start.

Expert 00:36:55

I'll answer your question in two ways. Certainly you want to start with your most impact service and that's obvious, I think that's really obvious. I think where you would need to start to really understand, again I'm going to pivot to say, how do you build up intelligence? AI or whatever these systems are, they have to get better, make it easier for us to understand the configurations and what systems are talking to what systems. We don't do very good mapping of our network and our device platforms, now they all interact with each other. To me, AI, if you can focus on that and AI can really build this mind map of all our system interaction.

You can use that to start understanding what people are saying and what groups are talking about what then now you're starting to overlay the business context. When you overlay the business context, now you get into service levels. How do I understand what's a good service and bad service? All over the years just say, 'Well I want it up 100% of the time." Well, you're not getting up, why not 95%. There's no mathematical way that most people do service levels, but you could do that as it was just easier to be able to understand what service levels you're currently getting and then overlay that with the value of the business that actually runs that.

For instance, sometimes I don't even care legal is down. I don't care. You're not suing somebody tomorrow, so I'll get to when I get to it. I do care when a POS is down. I do think from an AI perspective, if you could learn the context of the systems faster, the first place I'd start from an ITSM perspective.

Client 00:38:39

I think that's clear to me. It makes sense from a product perspective to me that learning the context is foundational to making the agents intelligent enough to be able to do the work successfully. That makes sense from a product perspective. **What's unclear to me** is how that maps to the business impact or the product service. What workflows does that map to? What ROI would you be able to then go pitch to the CFO, look at what this accomplished in that learning process of getting that context?

Expert 00:39:12

The way we've bought Datadog as an example is, we went through and we had to justify that from monitoring perspective just how much we were seeing that we weren't seeing before. With that then is how many of those tickets really did exist and then what percentage of those tickets are being addressed prior to someone human having to call in and tell us. That was one KPI that allowed us to say you're at least saving staff time because they don't have to go find a phone and tell us something's down. By the way, they don't tell us 20%. 80% of the time anyway that thing's down, how much is that costing you? I think there's a way to map that there, which we've done.

I think going back to the showback model, understanding each business function and what their KPIs are is extremely important. That's the only way you can really show value and prioritize where you invest. Obviously, if I can't sell, then I'm not doing business. That is obviously number one. There are less obvious ones. Like I said, **you may have issues with human capital management or supply chain,** which one of those most important, it depends. I don't know the answer to that always.

I don't know if I'm answering your question because I don't know that I can answer it specifically, but the one thing you have to determine is the value of that business unit and then that will prioritize where you roll it out. I think retail in general tends to be store level assets first, corporate assets last. That's a very general way of doing things. I would even say it's supply chain interfaces with all the APIs that tie into third-party logistics, and suppliers is number two. It goes down from there. Payroll certainly.

Client 00:40:59

Yeah. Are you leaning on ServiceNow to do some of this versus are you leaning on third parties that work with ServiceNow? Are you leaning on custom dev that works with ServiceNow? What's the right way to think about who's the best partner or the most capable partner or an attractive partner here to start to deploy this AI?

Expert 00:41:20

ServiceNow certainly. We used to say the Cadillac. I don't know the Cadillac's the best car anymore. Anyway it's certainly the Cadillac of ITSMs but it's also very, very expensive. I think they with their Now Assist agent, I don't think that really does a job. What we are looking at

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is, we implemented the test just to see what the value of it is. ITSM, ServiceNow with Moveworks, those two combined, it appears that **those are some of probably the best combination**. Moveworks, I'm sure you're familiar with them where you get some of the more intelligence and knowledge bases and things like that. I think that tends to work pretty well.

We haven't done customization in that space. Certainly we have knowledge repositories that we pull from. I think ServiceNow and Moveworks is probably best for large enterprises and retail stores and that's what I call CIO transformation, but it's expensive. You can get into other systems like Atomicwork and other ones. I think I remember what Jira is called. I think it's Freshservice or something like that. I don't know what's called the Jira. Maybe it's Jira Service Management. I can't remember what Jira is from the AI perspective, but we don't tend to do that.

Back to my comment earlier, I wonder if I really need a ServiceNow in the future or can I just have a bunch of AI that does my own discovery. Starts in the context of itself, starts understand and use then agents to go off and report, pull data every so often or take care of certain things. Do I even need to have a ServiceNow platform? or could I put a bunch of agents out there and do it myself? It's just data.

Client 00:43:11

We talked a little bit about how ticketing for example in an agent-led world get abstracted away, which makes total sense and resonates. When you think about the remaining functionality that ServiceNow does, what would keep it persistent? What would you have to do if you moved away from the ServiceNow? What capabilities would you have to solve with another vendor?

I'm thinking about like asset management for example, would you have to buy a platform to do asset management paired with these agents and then that could replace ServiceNow if they did take any plus asset management in that world or are there other that you would have to buy or someone would have to build for you?

Expert 00:43:51

I don't believe it's far out there but I'm just going to talk. ServiceNow is just a bunch of data, that's it and then it presents itself. If I had a database where I could store whatever asset data I want to discover and just store it there or if I want to look at performance metrics, I can store it there. I could put that in Snowflake as an example. I could put that in Databricks. Again, I don't know what the storage cost would be, etc., but I don't know that I need a whole lot of functionality. If I could have auto discovery of my assets then I wouldn't need to have a asset management UI. I don't need someone to go into a user interface to enter assets.

If it's discovered now, I would still need the data but I would need the interface. Same thing with change management. Maybe that's an area because I would want somebody to log that, set that one aside. Problem management, I don't need that. I could just have AI tell me how many problems are outstanding and rank them for me on a rate on a dynamic basis. It could be doing that every hour, it could be doing that every day, it could do whatever.

As it starts to learn more about the problem, it may be able to self heal versus being embedded some ticket somewhere. On the ticket side, I don't know if I need a ticket, if I could hear from the human of the issue that's happening and I can just log that. When I say log that, it may be just as much as just storing the voice file or the text file that came from speech to text that I can store that which I'm doing today with feedback from the stores. My point is, it's just data.

The only thing that ServiceNow and those folks have done over the years is, they broke it up and says, "Okay, well you need to log your changes. I'm going to give you your change database, got it. You need to log every ticket comes in, that's your incidence, I got it." Now I have that user interface for my problems because they exceeded some level of repair or that or became a problem because it's a known issue and it's going across a thousand stores.

I don't need a ticket system to do that for me in the future I don't believe. On the discovery side, I can discover. Again, do I need configuration management? Configuration management is changing every day. Every time **I unplug something, plug something else in, the problem with configuration management** today is it's not dynamic. It almost becomes a static representation of what I believe I have because I can't be doing that all the time.

If I had an AI out there that was just constantly talking or watching packets or whatever it is, I don't know what this thing would look like, but I question whether ServiceNow or ITSM products are going to be the same in the future or you just put everything into a central database and ask it questions.

Client 00:46:42

This has been really helpful. Maybe the last question for me is, how should I think about your willingness to work with vendors outside of Moveworks here? To what degree is it better to have one platform like Moveworks do all of this work around ServiceNow versus is it better to have multiple vendors to solve different tasks the way that you would hire different folks? You would hire different humans to do work. You would hire different vendors with different agents to do work.

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Expert 00:47:11

I would say there's no one magic answer. Like I said earlier, I think I understood your question. We have ServiceNow and we're going to Moveworks as an add in. **ServiceNow as an example doesn't have the best function of everything**. I think having a system where you can plug in, if that was your question, where you can add functionality is the way we've been doing it. I think that's probably the way most people are.

Client 00:47:38

Makes sense. How should I think about it? I know you can't probably get sure how much you guys are paying, but how should I think about the percent cost that you would allocate towards this versus ServiceNow? Is it 20% of the cost to ServiceNow you'd allocate towards this? Is it 50%, 70%?

Expert 00:48:00

Probably 20%.

Client 00:48:01

This has been really, really helpful. Thank you.

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